FIGURE 14-1 Everything New Is Old Again

Company	Current Assets	Current Liabilities	Ratio of Current Assets to Current Liabilities	Long-Term Debt	Ratio of Long-Term Debt to Working Capital
Applied Micro Circuits	1091.2	61.9	17.6	0	none
Linear Technology	1736.4	148.1	11.7	0	none
QLogic Corp.	713.1	69.6	10.2	0	none
Analog Devices	3711.1	467.3	7.9	1274.5	0.39
Qualcomm Inc.	4368.5	654.9	6.7	156.9	0.04
Maxim Integrated Products	1390.5	212.3	6.5	0	none
Applied Materials	7878.7	1298.4	6.1	573.9	0.09
Tellabs Inc.	1533.6	257.3	6.0	0.5	0.0004
Scientific-Atlanta	1259.8	252.4	5.0	8.8	0.01
Altera Corp.	1176.2	240.5	4.9	0	none
Xilinx Inc.	1108.8	228.1	4.9	0	none
American Power Conversion	1276.3	277.4	4.6	0	none
Chiron Corp.	1393.8	306.7	4.5	414.9	0.38
Biogen Inc.	1194.7	265.4	4.5	39	0.04
Novellus Systems	1633.9	381.6	4.3	0	none
Amgen Inc.	6403.5	1529.2	4.2	3039.7	0.62
LSI Logic Corp.	1626.1	397.8	4.1	1287.1	1.05
Rowan Cos.	469.9	116.0	4.1	494.8	1.40
Biomet Inc.	1000.0	248.6	4.0	0	none
Siebel Systems	2588.4	646.5	4.0	315.6	0.16

All figures in millions of dollars from latest available financial statements as of 12/31/02. Working capital is current assets minus current liabilities. Long-term debt includes preferred stock, excludes deferred tax liabilities. Sources: Morgan Stanley; Baseline; EDGAR database at www.sec.gov.

In 1999, most of these companies were among the hottest of the market's darlings, offering the promise of high potential growth. By early 2003, they offered hard evidence of true value.

The lesson here is not that these stocks were "a sure thing," or that you should rush out and buy everything (or anything) in this table.[1] Instead, you should realize that a defensive investor can always prosper by looking patiently and calmly through the wreckage of a bear market. Graham's criterion of financial strength still works: If you build a diversified basket of stocks whose current assets are at least double their current liabilities, and